3.9.1 Growth

Unit 3.9 Strategic methods: how to pursue strategies · 8 key points

- **Reasons to grow:** economies of scale, market power, spreading risk, higher profits
- **Organic growth:** growing from within, e.g. new outlets or products
- **External (inorganic) growth:** mergers and takeovers
- **Organic benefits:** lower risk, keeps control and culture
- **Organic drawbacks:** slow
- **External benefits:** fast, gains customers and expertise
- **External drawbacks:** costly, culture clashes, integration problems
- **Trap:** organic growth does not mean environmentally friendly